

# The Oahu Homebuyer's Guide

Your Comprehensive Roadmap to Buying a Home on Oahu

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# Chapter 1: Welcome from Jay Miller

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Aloha, and thank you for picking up this guide.

Over the past 25 years, I have helped thousands of families finance their homes across the Hawaiian Islands. During that time, I have watched first-time buyers light up when they get their keys, I have walked military families through the VA loan process during a PCS move, and I have guided investors through the complexities of condotel financing in Waikiki. Every transaction has reinforced the same truth: **the more you know before you start, the smoother the journey becomes.**

That is exactly why this guide exists. Buying a home on Oahu is not quite like buying a home anywhere else. The terminology is different — you will encounter words like “leasehold,” “AOAO,” and “NUC” that do not appear in mainland real estate transactions. The market dynamics are different — limited land, strong demand, and a condominium market that accounts for roughly 60 percent of all residential sales. And the financial landscape is different — conforming loan limits here are among the highest in the nation, and programs exist specifically for Hawaii residents that many buyers never learn about.

This guide is designed to be the resource I wish every one of my clients had before our first conversation. It covers the Oahu market from the ground up: neighborhoods, property types, loan programs, the escrow process, closing costs, and everything in between. Whether you are a first-time buyer stretching for a studio in Makiki or a seasoned investor evaluating a condotel in Waikiki, there is something here for you.

I encourage you to read it cover to cover, but I have also organized it so you can jump to the chapters most relevant to your situation. And when you are ready to take the next step, I am just a phone call away.

Let's get you home.

**Jay Miller**

Sales Manager & Certified Mortgage Advisor, CMG Home Loans

**For military buyers:** my book *Zero Down in Paradise: The Hawaii VA Loan Playbook for Military Homebuyers* (July 2026) goes far deeper on the VA loan than any single chapter can. Find it at [amazon.com/dp/B0H7P83W15](https://amazon.com/dp/B0H7P83W15) or at [realitycents.com/zero-down-in-paradise](https://realitycents.com/zero-down-in-paradise).

## Chapter 2: Why Oahu? The Case for Buying on the Gathering Place

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Oahu is home to approximately 70 percent of Hawaii's population, making it the economic, cultural, and governmental heart of the state. Honolulu, the state capital, serves as the primary hub for finance, healthcare, education, tourism, and the United States military's Pacific operations. For homebuyers, this concentration of economic activity translates into a market with deep demand drivers and long-term stability.

**Economic Foundations.** Oahu's economy is anchored by several resilient sectors. The U.S. military maintains a massive presence through Joint Base Pearl Harbor-Hickam, Schofield Barracks, Marine Corps Base Hawaii in Kaneohe, and Fort Shafter, among others. These installations support tens of thousands of active-duty service members and their families, creating consistent housing demand. Tourism, healthcare (including the state's largest hospital systems), the University of Hawaii, and state government further diversify the economic base.

**Lifestyle and Quality of Life.** Beyond economics, Oahu offers a quality of life that is difficult to replicate. Year-round warm weather, world-class beaches, hiking trails through lush mountain valleys, and a rich multicultural food scene are not marketing slogans — they are daily life. The island's compact size (approximately 597 square miles) means that even with Honolulu's urban density, you are never far from the ocean or the mountains.

**Long-Term Appreciation.** Perhaps the most compelling financial argument for buying on Oahu is the historical track record of appreciation. Over the last 40 years, the median single-family home price on Oahu has increased by more than 618 percent, representing an average annual appreciation rate of approximately 5.05 percent. While past performance does not guarantee future results, the fundamental constraints of island geography — limited land, surrounded by ocean — create a supply dynamic that has consistently supported long-term value growth.

**The Bottom Line:** Oahu is not just a place to live; it is a place where real estate has historically been one of the most reliable stores of wealth in the United States. Understanding this market is the first step toward participating in it.

# Chapter 3: Understanding the Oahu Housing Market

## Market Snapshot: July 2026

The Oahu market accelerated sharply through mid-2026. Single-family home sales jumped 20.5 percent year-over-year to 300 closed transactions in July, and the median single-family price rose 13.9 percent to \$1,224,500. Condominium resales rose 6.9 percent to 416 closings, with the median condo price at \$504,500, up 3.0 percent from a year earlier. Homes are also selling faster: median days on market fell to 16 for single-family homes (down 20 percent) and 39 for condos (down 22 percent). [1]

| Metric                        | Single-Family Homes | Condominiums |
|-------------------------------|---------------------|--------------|
| Median Sales Price (Jul 2026) | \$1,224,500         | \$504,500    |
| Year-over-Year Price Change   | +13.9%              | +3.0%        |
| Closed Sales (Jul 2026)       | 300                 | 416          |
| Year-over-Year Sales Change   | +20.5%              | +6.9%        |
| Median Days on Market         | 16 (–20%)           | 39 (–22%)    |

Source: Honolulu Board of REALTORS, July 2026 resale statistics [1]

Affordability still exists in segments of the market: more than 1,000 Oahu properties priced at \$500,000 or below sold in the first half of 2026, 35 percent of single-family sales closed below \$1 million, and 47 percent of condo sales closed below \$500,000. [2]

## The 60/40 Split: Why Condos Dominate Oahu

One of the most important things to understand about the Oahu market is that condominiums consistently account for approximately 60 percent or more of all residential resales. In 2025, there were 2,890 single-family home sales compared to 4,408 condominium sales — meaning condos represented roughly 60.4 percent of total transactions. [3] This is not a temporary trend; it is a structural feature of the market driven by Oahu’s limited land area and the density of urban Honolulu. If you are buying on Oahu, there is a strong probability that you are buying a condo.

## 40 Years of Appreciation: Oahu Single-Family Homes (1985–2025)

The following table illustrates the remarkable long-term trajectory of single-family home values on Oahu. While the market has experienced cycles — including notable corrections in the mid-1990s and during the 2008–2009 financial crisis — the overarching trend has been one of significant appreciation.

| Year | Median Sales Price | Change from Prior Milestone |
|------|--------------------|-----------------------------|
| 1985 | \$158,600          | Baseline                    |
| 1990 | \$352,000          | +122.0% (5 years)           |
| 1995 | \$349,000          | −0.9% (5 years)             |
| 2000 | \$295,000          | −15.5% (5 years)            |
| 2005 | \$590,000          | +100.0% (5 years)           |
| 2010 | \$592,750          | +0.5% (5 years)             |
| 2015 | \$700,000          | +18.1% (5 years)            |
| 2020 | \$830,000          | +18.6% (5 years)            |
| 2025 | \$1,139,000        | +37.2% (5 years)            |

Source: Honolulu Board of REALTORS, Oahu Historical Data [3]

**Key Insight:** From 1985 to 2025, the median single-family home price on Oahu increased from \$158,600 to \$1,139,000 — a total gain of 618.2% and an average annual appreciation of 5.05%. A buyer who purchased at the 1985 median and held for 40 years would have seen their home’s value increase by approximately \$980,400.

Condo Appreciation: A Parallel Story

Condominiums on Oahu have followed a similar, though somewhat more moderate, appreciation trajectory. The median condo price rose from \$89,800 in 1985 to approximately \$507,250 in 2025, representing a total gain of 464.9 percent and an average annual appreciation of 4.42 percent. [3]

| Year | Median Condo Price | Year | Median Condo Price |
|------|--------------------|------|--------------------|
| 1985 | \$89,800           | 2010 | \$305,000          |
| 1990 | \$187,000          | 2015 | \$360,000          |
| 1995 | \$182,000          | 2020 | \$435,000          |
| 2000 | \$125,000          | 2025 | \$507,250          |
| 2005 | \$269,000          |      |                    |

Source: Honolulu Board of REALTORS, Oahu Historical Data [3]

## Chapter 4: Oahu's Neighborhoods — A Buyer's Area-by-Area Guide

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Oahu is a remarkably diverse island, and the neighborhood you choose will define your daily experience as much as the home itself. Below is a practical overview of Oahu's major residential areas, organized to help you identify where your budget and lifestyle align.

### Urban Honolulu and Metro Core

**Waikiki** is Oahu's most iconic neighborhood and one of the densest residential areas in the state. The market here is almost entirely condominiums, ranging from older walk-up studios to luxury high-rises. Waikiki is also home to many of Oahu's condotels (discussed in Chapter 7). Median condo prices typically range from \$300,000 for a small studio to well over \$1 million for premium units. Waikiki offers unmatched walkability, nightlife, dining, and beach access, but parking is scarce and expensive, and the tourist-heavy atmosphere is not for everyone.

**Kakaako / Ala Moana** has undergone a dramatic transformation over the past decade with the development of Ward Village and other luxury high-rise projects. This area features some of Oahu's newest and most modern condominium buildings, with prices ranging from approximately \$500,000 for a one-bedroom to several million for premium units. The neighborhood offers proximity to Ala Moana Center (one of the world's largest open-air shopping malls), excellent restaurants, and easy access to downtown Honolulu.

**Makiki / Punchbowl** represents one of the more affordable entry points into urban Honolulu. Older condominiums and co-ops in this area can be found starting in the \$300,000 to \$400,000 range, making it a popular choice for first-time buyers. The neighborhood is centrally located, close to hospitals, and offers a quieter residential feel compared to Waikiki.

**Downtown Honolulu / Chinatown** is the business and government center of the state. Residential options are primarily condominiums, and the area has seen revitalization efforts in recent years. Prices are moderate by Honolulu standards, and the neighborhood appeals to professionals who want to walk to work.

### East Honolulu

**Diamond Head / Kahala / Black Point** are among Oahu's most prestigious residential areas. Single-family homes in Kahala routinely sell for \$2 million to \$10 million or more. Diamond Head offers a mix of luxury condos (including the Gold Coast oceanfront buildings) and single-family homes with stunning views. These neighborhoods represent the upper tier of the Oahu market.

**Hawaii Kai** is a master-planned community on Oahu's eastern shore, offering a suburban feel with marina access, townhomes, and single-family homes. Median single-family home prices in Hawaii Kai are typically in the \$1.1 million to \$1.5 million range, with condos and townhomes available from approximately \$400,000 to \$800,000.

**Kaimuki / Kapahulu** are charming, walkable neighborhoods with a thriving local food and small-business scene. These areas offer a mix of older single-family homes and condominiums at prices somewhat below the Diamond Head and Kahala tier.

## Windward Side

**Kailua** is known for its stunning beach (Kailua Beach Park and Lanikai Beach) and small-town charm, and it commands premium prices. The median single-family home price is approximately \$1.4 million. [4]

**Kaneohe** offers a more affordable alternative to Kailua while still providing access to the windward coast's lush beauty. Single-family homes and townhomes are available at lower price points, with a quieter lifestyle.

## Central Oahu

**Mililani / Mililani Mauka** has parks and a cooler climate at slightly higher elevation. Townhomes and entry-level single-family homes can be found in the \$560,000 to \$790,000 range. VA loans are particularly popular here, powering an estimated 25 to 35 percent of purchases. [5]

**Aiea / Pearl City** offer a central location with easy access to both Honolulu and the North Shore via H-1 and H-2 freeways. These established neighborhoods provide a mix of single-family homes, townhomes, and condominiums at moderate prices.

**Salt Lake / Aliamanu** are popular with military families due to their proximity to Joint Base Pearl Harbor-Hickam and Tripler Army Medical Center. Condominiums in this area range from approximately \$388,000 to \$530,000, making it one of the more affordable options on Oahu. [5]

## West Oahu (Ewa Plain / Leeward)

**Ewa Beach / Ewa Gentry** features newer master-planned communities with townhomes and single-family homes in the \$500,000 to \$808,000 range. The area has grown rapidly and offers modern amenities, though commute times to Honolulu can be significant. [5]

**Kapolei** is often referred to as Oahu's "Second City" and is the fastest-growing area on the island. New condominium and townhome developments, along with the planned Skyline rail extension, are driving interest. Prices for condos and townhomes range from approximately \$520,000 to \$740,000. [5]

**Ko Olina** is a resort community on the leeward coast, home to the Four Seasons and Aulani (Disney) resorts. Residential options here are primarily luxury condominiums, and some buildings allow short-term vacation rentals.

## North Shore

The North Shore is world-famous for its surfing culture and laid-back lifestyle. Residential options include single-family homes, small estates, and a limited number of condominiums. Prices vary widely, from modest homes in Waialua to multimillion-dollar beachfront properties in Haleiwa and Sunset Beach. The North Shore appeals to buyers seeking a rural, beach-oriented lifestyle and who do not need to commute daily to Honolulu.

## Neighborhood Price Summary

| Area                  | Property Type          | Approximate Price Range     |
|-----------------------|------------------------|-----------------------------|
| Waikiki               | Condos                 | \$300,000 – \$2,000,000+    |
| Kakaako / Ala Moana   | Condos                 | \$500,000 – \$5,000,000+    |
| Makiki / Punchbowl    | Condos, Co-ops         | \$300,000 – \$700,000       |
| Diamond Head / Kahala | SFH, Luxury Condos     | \$1,500,000 – \$10,000,000+ |
| Hawaii Kai            | SFH, Townhomes, Condos | \$400,000 – \$1,500,000     |
| Kailua                | SFH, Townhomes         | \$800,000 – \$3,000,000+    |
| Kaneohe               | SFH, Townhomes         | \$600,000 – \$1,200,000     |
| Mililani              | SFH, Townhomes         | \$560,000 – \$790,000       |
| Salt Lake / Aliamanu  | Condos                 | \$388,000 – \$530,000       |
| Ewa Beach             | SFH, Townhomes         | \$500,000 – \$808,000       |
| Kapolei               | Condos, Townhomes      | \$520,000 – \$740,000       |
| Ko Olina              | Luxury Condos          | \$800,000 – \$3,000,000+    |
| North Shore           | SFH                    | \$800,000 – \$5,000,000+    |

## Chapter 5: The Condominium Market on Oahu

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### Why Condos Are Central to the Oahu Market

As noted earlier, condominiums represent approximately 60 percent of all residential sales on Oahu. This is not merely a statistical curiosity — it fundamentally shapes how buyers, sellers, and lenders approach the market. For many buyers, especially first-time purchasers, a condominium is the most realistic path to homeownership on Oahu. Understanding how condos work in Hawaii is therefore essential.

### Key Concepts Every Condo Buyer Must Understand

**AOAO (Association of Apartment Owners).** In Hawaii, the equivalent of a mainland HOA for condominiums is called the AOAO. The AOAO is the legal entity that governs the condominium project, manages common areas, collects maintenance fees, enforces house rules, and maintains the building's financial reserves. Every condo owner is automatically a member of the AOAO.

**House Rules and Declarations.** Each condominium project operates under a set of governing documents, including the Declaration of Condominium Property Regime, Bylaws, and House Rules. These documents dictate everything from pet policies and rental restrictions to renovation guidelines and noise rules. Before purchasing any condo, you should obtain and carefully review these documents — they will govern your daily life in the building.

**Reserve Studies and Financial Health.** One of the most important due diligence steps when buying a condo is reviewing the AOAO's financial health. Request the most recent reserve study, which estimates the remaining useful life of major building components (roof, elevators, plumbing, painting) and whether the association has adequate funds to cover future repairs. A poorly funded reserve can lead to special assessments — one-time charges to owners that can range from a few thousand dollars to tens of thousands of dollars or more.

**Warrantable vs. Non-Warrantable Condos.** This distinction is critical for financing. A warrantable condo meets Fannie Mae and Freddie Mac guidelines, meaning it can be financed with a conventional loan at standard rates and terms. A non-warrantable condo fails to meet one or more of these guidelines — common reasons include a high percentage of investor-owned units, active litigation against the AOAO, a single entity owning too many units, or the building operating as a condotel. Non-warrantable condos require specialized financing, which typically means higher interest rates and larger down payments.

## What Makes a Condo Non-Warrantable?

Understanding the specific factors that can make a condo non-warrantable is important because it directly affects your financing options and costs.

| Factor                  | Warrantable Threshold                                                             |
|-------------------------|-----------------------------------------------------------------------------------|
| Owner-Occupancy Rate    | At least 50% of units must be owner-occupied or second homes (not investor-owned) |
| Single Entity Ownership | No single entity can own more than 20% of units in the project                    |
| Commercial Space        | No more than 35% of the project's total floor area can be commercial              |
| Delinquent Dues         | No more than 15% of units can be 60+ days delinquent on AOA dues                  |
| Insurance               | The project must carry adequate hazard and liability insurance                    |
| Litigation              | No pending or active litigation against the AOA (with limited exceptions)         |
| Short-Term Rentals      | The project cannot operate primarily as a hotel or condotel                       |

If a building fails any of these tests, conventional Fannie Mae and Freddie Mac financing is not available, and buyers must seek portfolio loans, non-QM products, or other specialized financing — all of which come at a premium.

**Buying with a VA loan?** The condo project must also be VA-approved. RealityCents maintains a free, searchable directory at [realitycents.com/va-approved-condos-oahu](https://realitycents.com/va-approved-condos-oahu): VA-accepted condo projects on Oahu from VA's list, last checked Oct 1, 2026; approvals change, confirm current status with VA. Check any building before you fall in love with it.

## Chapter 6: Maintenance Fees and HOA Dues — What You Are Really Paying For

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### The Anatomy of an Oahu Condo Maintenance Fee

Maintenance fees (also called AOA fees or HOA dues) are one of the most significant ongoing costs of condo ownership on Oahu, and they are frequently misunderstood by buyers. These fees are not simply a “tax” on condo living — they cover real, essential services that a single-family homeowner would otherwise pay for individually.

### What Maintenance Fees Typically Cover

**Building Insurance (Hazard/Property Insurance).** The AOA’s master insurance policy covers the building’s structure, common areas, and liability. This is one of the largest components of the maintenance fee and has been rising significantly in recent years due to Hawaii’s exposure to hurricanes and the broader national trend of increasing insurance costs. Note that this policy does not cover the interior of your individual unit or your personal belongings — you will need a separate HO-6 condo insurance policy for that.

**Water and Sewer.** Nearly every condo on Oahu includes water and sewer service in the maintenance fee. Given that the Honolulu Board of Water Supply charges among the highest water rates in the nation, this represents meaningful value.

**Common Area Maintenance.** This encompasses the upkeep of all shared spaces: lobbies, hallways, elevators, parking structures, pools, fitness centers, landscaping, and exterior building surfaces. In a tropical climate, maintenance costs are higher than on the mainland due to salt air corrosion, humidity, and the constant battle against mold and mildew.

**Trash Collection and Pest Control.** Waste removal and regular pest control (particularly for termites, cockroaches, and rodents) are standard inclusions.

**Reserve Fund Contributions.** A portion of every maintenance fee payment goes into the building’s reserve fund, which is earmarked for major capital expenditures — roof replacement, elevator modernization, re-piping, concrete restoration, and exterior painting. Well-managed buildings maintain healthy reserves; poorly managed buildings face the risk of special assessments.

**Management Company Fees.** Most condo buildings on Oahu are professionally managed by property management companies such as Hawaiiana Management, Associa Hawaii, or Touchstone Properties. The management fee is included in your monthly dues.

**Additional Inclusions (Varies by Building).** Some buildings include cable television, internet service, or even electricity in the maintenance fee. A small number of luxury buildings include

concierge services, valet parking, or housekeeping. Co-op buildings on the Gold Coast may even include property taxes in the monthly fee.

## How Much Should You Expect to Pay?

Maintenance fees on Oahu vary enormously depending on the building's age, amenities, location, and size of your unit. The following breakdown is based on active condo listings on Oahu. [6]

| Monthly Fee Range | Percentage of Listings |
|-------------------|------------------------|
| \$500 or less     | 10%                    |
| \$500 – \$1,000   | 51%                    |
| \$1,001 – \$1,500 | 23%                    |
| \$1,501 – \$2,000 | 6%                     |
| \$2,001 – \$2,500 | 3%                     |
| \$2,501 – \$3,000 | 2%                     |
| \$3,001 – \$3,500 | 2%                     |
| \$3,500+          | 2%                     |

Source: Hawaii Home Listings, analysis of 2,139 active Oahu condo listings [6]

The median monthly HOA fee in Hawaii is \$470, which ranks third-highest among all U.S. states. [7] However, on Oahu specifically, the majority of condos fall in the \$500 to \$1,000 per month range. Luxury properties in Kakaako, Waikiki, and Diamond Head can command fees of \$2,000 to \$10,000 or more per month.

## A Common Calculation Method

Many buildings calculate maintenance fees on a per-square-foot basis. A typical rate might be \$1.00 to \$1.50 per square foot per month. For example, a 700-square-foot one-bedroom unit at \$1.10 per square foot would have a monthly fee of approximately \$770.

## Why Fees Increase — and What to Watch For

Maintenance fees are not static. They tend to increase over time due to rising insurance premiums, utility costs, labor costs, and the aging of building systems. When evaluating a condo purchase, ask the following questions:

- **What is the history of fee increases over the past 5 to 10 years?** Consistent, moderate increases (3 to 5 percent annually) are normal. Large, sudden jumps may indicate deferred

maintenance or financial mismanagement.

- **What is the current reserve fund balance, and what does the most recent reserve study say?** A reserve fund that is less than 50 percent funded is a red flag.
- **Are there any pending or planned special assessments?** A special assessment is a one-time charge to all owners to cover a major expense that the reserve fund cannot handle. These can range from a few thousand dollars to \$50,000 or more per unit.
- **Has the building completed or does it need major capital projects?** Re-piping, concrete spalling repair, elevator modernization, and roof replacement are the most common — and most expensive — capital projects for Oahu condos.

**Pro Tip from Jay:** When comparing two condos, do not just look at the purchase price. A condo priced \$50,000 lower but with maintenance fees that are \$300 per month higher will cost you \$108,000 more over 30 years in fees alone. Always calculate the total cost of ownership.

## Chapter 7: Condotels and Short-Term Vacation Rentals

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### What Is a Condotel?

A condotel (condominium hotel) is a condominium unit located within a building that operates, in whole or in part, as a hotel. Individual units are privately owned, but the building may have a front desk, daily housekeeping, a rental pool managed by a hotel operator, and other hospitality services. On Oahu, condotels are concentrated primarily in Waikiki and Ko Olina.

Condotels appeal to buyers who want to use the unit as a vacation home while generating rental income when they are not occupying it. However, they come with a unique set of regulatory, financial, and practical considerations that every buyer must understand.

### Oahu's Short-Term Rental Regulations

The City and County of Honolulu strictly regulates short-term rentals (defined as stays of fewer than 30 consecutive days, or in some contexts fewer than 90 days). There are only three legal pathways to operate a short-term rental on Oahu. [8]

- 1. Resort Mixed Use Zoning (X6).** Properties located in areas zoned as Resort Mixed Use are permitted to operate as short-term rentals. This zoning applies to parts of Waikiki and Ko Olina.
- 2. Grandfathered Non-Conforming Hotel Status.** Some buildings were operating as hotels before current zoning laws took effect and have been grandfathered in, exempting them from the NUC requirement.
- 3. Non-Conforming Use Certificate (NUC).** A total of only 793 NUCs were ever issued by the City and County of Honolulu, and no new NUCs have been issued since September 1990. [8] An NUC is attached to a specific unit and allows that unit to operate as a short-term rental even if the building's zoning would otherwise prohibit it. NUC units are highly valued and command a premium.

**Critical Warning:** Operating a short-term rental without proper zoning or an NUC is illegal on Oahu and can result in fines of \$1,000 to \$10,000 per day. The City and County of Honolulu actively enforces these regulations. Do not purchase a property with the assumption that you can rent it on Airbnb or VRBO unless you have verified the legal status.

### Tax Implications for Short-Term Rentals

Short-term rental income on Oahu is subject to multiple layers of taxation. [8]

| Tax                                          | Rate         | Applies To                               |
|----------------------------------------------|--------------|------------------------------------------|
| General Excise Tax (GET)                     | 4.5%         | All rental income (any rental period)    |
| Transient Accommodations Tax (TAT)           | 11.0%        | Rental periods of 180 days or less       |
| Oahu Transient Accommodation Tax (OTAT)      | 3.0%         | Rental periods of 180 days or less       |
| <b>Total Tax on Short-Term Rental Income</b> | <b>18.5%</b> | Combined rate for rentals under 180 days |

Additionally, properties classified as Hotel/Resort for property tax purposes are taxed at \$13.90 per \$1,000 of assessed value — significantly higher than the residential rate of \$3.50 per \$1,000. [9]

## Financing a Condotel: The Challenges

Financing a condotel is fundamentally different from financing a standard condominium, and this is where many buyers encounter surprises. [10]

**Conventional financing is generally not available.** Most condotels are classified as non-warrantable because they operate as hotels, have rental pool agreements, or fail to meet Fannie Mae’s owner-occupancy requirements. This means standard conventional loans, FHA loans, and VA loans are typically not options.

**Specialized financing is required.** Condotel buyers generally must use one of the following loan types:

| Loan Type                 | Typical Down Payment | Typical Interest Rate | Key Feature                                           |
|---------------------------|----------------------|-----------------------|-------------------------------------------------------|
| Traditional Condotel Loan | 20% – 25%            | 8% – 10%              | Standard qualification                                |
| DSCR Loan                 | 20%+                 | 7.5% – 9.5%           | Qualifies based on rental income, not personal income |
| Bank Statement Loan       | 20% – 25%            | 8% – 10%              | Uses bank statements instead of tax returns           |
| No-Doc / Stated Income    | 25%+                 | 9% – 11%              | Minimal documentation required                        |

Source: Truss Financial Group [10]

Additional financing considerations for condotels include: some lenders require the unit to have a full kitchen (defined as a full-size refrigerator, sink, and range or four-burner stove with a separate oven). Some lenders will only offer adjustable-rate mortgages (ARMs), not fixed-rate products.

Interest rates are typically 2 to 4 percentage points higher than conventional residential mortgage rates. And many traditional banks — including Wells Fargo and Chase — do not offer condotel financing at all, requiring buyers to work with specialized lenders.

### Notable Condotel Buildings on Oahu

The following are among the most well-known condotel and short-term-rental-permitted buildings on Oahu, concentrated primarily in Waikiki. [8]

| Building                | Location  | Land Tenure | STR Type            |
|-------------------------|-----------|-------------|---------------------|
| Ritz-Carlton Residences | Waikiki   | Fee Simple  | Resort Mixed Use    |
| The Ilikai              | Waikiki   | Fee Simple  | Resort Mixed Use    |
| Ilikai Marina           | Waikiki   | Fee Simple  | Resort Mixed Use    |
| Waikiki Beach Tower     | Waikiki   | Fee Simple  | Resort Mixed Use    |
| Waikiki Shore           | Waikiki   | Fee Simple  | Resort Mixed Use    |
| Ala Moana Hotel         | Ala Moana | Fee Simple  | NUC / Grandfathered |
| Waikiki Banyan          | Waikiki   | Fee Simple  | NUC Required        |
| Waikiki Sunset          | Waikiki   | Fee Simple  | NUC Required        |
| Island Colony           | Waikiki   | Fee Simple  | NUC Required        |
| Pacific Monarch         | Waikiki   | Fee Simple  | Resort Mixed Use    |

Note: STR rules and building policies change. Always verify current status with the building's AOA and the City and County of Honolulu before purchasing.

# Chapter 8: Financial Preparation — Getting Your House in Order

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## Credit Score Requirements

Your credit score is one of the most important factors in determining your mortgage eligibility, interest rate, and loan terms. The following table outlines general minimum credit score requirements by loan type.

| Loan Type                 | Minimum Credit Score                            | Notes                                   |
|---------------------------|-------------------------------------------------|-----------------------------------------|
| Conventional (Fannie Mae) | 620                                             | Higher scores (740+) get the best rates |
| FHA                       | 580 (3.5% down) or 500 (10% down)               | More flexible than conventional         |
| VA                        | No official minimum (most lenders require 620+) | Government-backed, flexible             |
| USDA                      | 640 (most lenders)                              | Limited to eligible rural areas         |
| Jumbo                     | 700+ (varies by lender)                         | Higher requirements for larger loans    |
| Condotel / Non-QM         | 660+ (varies widely)                            | Specialized products                    |

**Improving Your Credit Score Before Applying.** If your score is below where you need it to be, there are steps you can take. Pay down credit card balances to below 30 percent of your credit limit (below 10 percent is ideal). Do not open new credit accounts or make large purchases in the months leading up to your mortgage application. Check your credit reports for errors and dispute any inaccuracies. And above all, make every payment on time — payment history is the single largest factor in your credit score.

## Debt-to-Income Ratio (DTI)

Your DTI ratio compares your total monthly debt payments to your gross monthly income. Lenders use this ratio to assess your ability to manage monthly payments and repay the mortgage.

| DTI Component                 | What It Includes                                                                                           |
|-------------------------------|------------------------------------------------------------------------------------------------------------|
| Front-End DTI (Housing Ratio) | Proposed mortgage payment (PITI) + HOA/maintenance fees                                                    |
| Back-End DTI (Total DTI)      | All monthly debt payments including housing, car loans, student loans, credit cards, and other obligations |

Most conventional lenders prefer a back-end DTI of 43 percent or lower, though some programs allow up to 50 percent with compensating factors (such as a high credit score or significant cash reserves). FHA loans may allow DTIs up to 57 percent in some cases. Given Oahu’s high housing costs, DTI is often the binding constraint for buyers — which is why reducing other debts before applying is so important.

## Saving for a Down Payment on Oahu

The down payment is typically the largest upfront cost of buying a home. On Oahu, where the median condo price is \$504,500 and the median single-family home price is \$1,224,500 (July 2026), even a modest percentage translates to a significant dollar amount.

| Down Payment %     | On \$504,500 Condo | On \$1,224,500 Home |
|--------------------|--------------------|---------------------|
| 3% (Conv. minimum) | \$15,135           | \$36,735            |
| 3.5% (FHA minimum) | \$17,658           | \$42,858            |
| 5%                 | \$25,225           | \$61,225            |
| 10%                | \$50,450           | \$122,450           |
| 20% (No PMI)       | \$100,900          | \$244,900           |

FHA’s 3.5% minimum applies only when the loan stays at or below the \$828,000 Honolulu FHA limit, so it is not available on a median-priced \$1,224,500 single-family home.

**Gift Funds.** Many Oahu buyers receive down payment assistance from family members. All major loan programs allow gift funds for down payments, but strict documentation is required. You will need a gift letter stating the donor’s name, relationship to you, the exact dollar amount, and a declaration that the funds are a gift with no expectation of repayment. The donor must also provide bank statements showing the source of funds, and the transfer must be traceable (wire transfer or cashier’s check — not cash).

## Budgeting for Oahu's Cost of Living

Hawaii consistently ranks as one of the most expensive states in the nation for cost of living. Beyond your mortgage payment, budget for the following:

| Expense Category                     | Typical Monthly Cost (Oahu)                |
|--------------------------------------|--------------------------------------------|
| Electricity                          | \$200 – \$400 (higher without solar)       |
| Water / Sewer (if not in HOA)        | \$60 – \$120                               |
| Groceries (family of 4)              | \$1,200 – \$1,800                          |
| Gasoline                             | \$4.50 – \$5.50 per gallon                 |
| Auto Insurance                       | \$150 – \$300                              |
| Homeowner's / Condo Insurance (HO-6) | \$30 – \$100 (condo) / \$150 – \$400 (SFH) |
| Internet / Cable                     | \$80 – \$150                               |

Understanding these costs before you buy ensures that you are not “house poor” — able to afford the mortgage but struggling with everything else.

# Chapter 9: Mortgage Options for Oahu Buyers — A Deep Dive

Understanding your financing options is arguably the most important step in the homebuying process, and on Oahu, the landscape is more nuanced than in most mainland markets. The combination of high property values, a condo-dominated market, and unique local programs means that the “right” loan for you depends heavily on your specific situation. Below is a detailed breakdown of every major loan program available to Oahu buyers.

## 2026 Loan Limits for Honolulu County

Before diving into individual programs, it is essential to understand the loan limits that govern what you can borrow under each program. Honolulu County’s 2026 conforming limit is the Hawaii baseline of \$1,249,125, 1.5 times the \$832,750 national baseline. FHA limits are set separately by HUD.

| Loan Program                        | 1-Unit Limit                     | 2-Unit Limit | 3-Unit Limit | 4-Unit Limit |
|-------------------------------------|----------------------------------|--------------|--------------|--------------|
| Fannie Mae / Freddie Mac Conforming | \$1,249,125                      | \$1,599,375  | \$1,933,200  | \$2,402,625  |
| FHA                                 | \$828,000                        | \$1,060,000  | \$1,281,300  | \$1,592,350  |
| VA                                  | No limit (with full entitlement) | No limit     | No limit     | No limit     |

Source: FHFA, November 2025; HUD, 2026 Loan Limits [11] [12]

These limits are critically important. A single-family home or condo with a loan amount at or below \$1,249,125 can potentially be financed with a conforming conventional loan, and at or below \$828,000 with an FHA loan. Both offer the most favorable rates and terms. A loan above the \$1,249,125 conforming limit enters jumbo loan territory, which carries different requirements.

## Conventional Loans (Fannie Mae / Freddie Mac)

Conventional loans are the most common financing option for Oahu buyers and are available through virtually every mortgage lender. They are not government-insured; instead, they conform to guidelines set by Fannie Mae and Freddie Mac.

| Feature                      | Details                                         |
|------------------------------|-------------------------------------------------|
| Minimum Down Payment         | 3% (first-time buyers) to 5% (standard)         |
| Minimum Credit Score         | 620 (680+ recommended for best rates)           |
| Maximum DTI                  | 45% – 50% (with compensating factors)           |
| PMI Required?                | Yes, if down payment is less than 20%           |
| Loan Limit (Honolulu County) | \$1,249,125 (1-unit)                            |
| Property Types               | SFH, condos (warrantable), townhomes, 2-4 units |

**Key Advantages:** Competitive interest rates, flexible terms (15, 20, 25, or 30 years), PMI can be removed once you reach 20 percent equity, and no upfront funding fee. Conventional loans are the gold standard for buyers with good credit and a reasonable down payment.

**Key Consideration for Oahu:** The condo you are purchasing must be warrantable to qualify for conventional financing. If the building is non-warrantable (see Chapter 5), you will need a different loan product.

## FHA Loans (Federal Housing Administration)

FHA loans are government-insured mortgages designed to make homeownership accessible to buyers with lower credit scores and smaller down payments. They are particularly popular with first-time buyers on Oahu.

| Feature                      | Details                                                                |
|------------------------------|------------------------------------------------------------------------|
| Minimum Down Payment         | 3.5% (credit score 580+) or 10% (credit score 500-579)                 |
| Minimum Credit Score         | 500 (with 10% down) or 580 (with 3.5% down)                            |
| Maximum DTI                  | Up to 57% (with compensating factors)                                  |
| Mortgage Insurance           | Upfront MIP (1.75% of loan amount) + Annual MIP (0.55% for most loans) |
| Loan Limit (Honolulu County) | \$828,000 (1-unit)                                                     |
| Property Types               | SFH, FHA-approved condos, townhomes, 2-4 units                         |

**Key Advantages:** Lower credit score requirements, higher DTI allowances, and a low down payment make FHA loans the most accessible option for many buyers. The 2026 FHA loan limit of \$828,000 for Honolulu County fits many Oahu condos and some lower-priced single-family homes, while most single-family homes near the \$1,224,500 median would need a loan above that limit.

**Key Considerations for Oahu:** FHA loans require the condo project to be on the FHA-approved condo list. Not all Oahu condos are FHA-approved, which can limit your options. Additionally, FHA mortgage insurance premiums (MIP) are required for the life of the loan if your down payment is less than 10 percent — unlike conventional PMI, which can be removed. This is a significant long-term cost difference.

## VA Loans (Department of Veterans Affairs)

VA loans are one of the most powerful mortgage products available, and they are exclusively for eligible active-duty service members, veterans, National Guard and Reserve members, and surviving spouses. Given Oahu’s massive military presence, VA loans are a cornerstone of the local market.

| Feature              | Details                                                                                                       |
|----------------------|---------------------------------------------------------------------------------------------------------------|
| Minimum Down Payment | 0% (zero down payment)                                                                                        |
| Minimum Credit Score | No VA minimum (most lenders require 620+)                                                                     |
| Maximum DTI          | Generally 41%, but higher with residual income                                                                |
| Mortgage Insurance   | None (no PMI or MIP)                                                                                          |
| Loan Limit           | No limit with full entitlement                                                                                |
| VA Funding Fee       | 1.25% – 3.3% depending on down payment and prior use (can be financed; waived for eligible disabled veterans) |
| Property Types       | SFH, VA-approved condos, townhomes, 2-4 units                                                                 |

**Key Advantages:** Zero down payment, no mortgage insurance, competitive interest rates (typically 0.25 to 0.50 percent lower than conventional), and no loan limit for veterans with full entitlement. On Oahu, where a 20 percent down payment on a median-priced home would require \$244,900, the ability to buy with zero down is transformative.

**Key Considerations for Oahu:** The condo must be on the VA-approved condo list — check any building instantly at [realitycents.com/va-approved-condos-oahu](https://realitycents.com/va-approved-condos-oahu). VA loans also require the property to meet VA Minimum Property Requirements (MPRs), which can be an issue with older buildings.

**The VA Funding Fee, precisely.** The funding fee depends on your down payment and whether you have used the benefit before: 2.15 percent for first use with less than 5 percent down, 3.3 percent for subsequent use with less than 5 percent down, 1.5 percent with 5 to 9.99 percent down, and 1.25 percent with 10 percent or more down (the last two rates apply whether or not you have used the benefit before). The fee can be financed into the loan, and it is waived entirely for veterans receiving

service-connected disability compensation, eligible surviving spouses, and Purple Heart recipients on active duty.

**Jay's Note:** I have helped hundreds of military families use their VA benefit on Oahu. If you are eligible, this is almost always the best loan option available to you. The combination of zero down, no PMI, and no loan limit is unmatched by any other program. Do not leave this benefit on the table. And if you have used your benefit before, ask about second-tier entitlement — many service members can hold two VA loans at once during a PCS. My book *Zero Down in Paradise* covers these strategies in depth.

## USDA Loans (U.S. Department of Agriculture)

USDA loans offer 100 percent financing (zero down payment) for properties in eligible rural areas. On Oahu, eligible areas are extremely limited but do exist in parts of the North Shore, Waialua, Kahuku, and other rural communities.

| Feature              | Details                                                   |
|----------------------|-----------------------------------------------------------|
| Minimum Down Payment | 0%                                                        |
| Minimum Credit Score | 640 (most lenders)                                        |
| Income Limits        | Household income cannot exceed 115% of area median income |
| Guarantee Fee        | 1.0% upfront + 0.35% annual                               |
| Property Types       | SFH in eligible rural areas only                          |

**Key Consideration:** USDA eligibility on Oahu is very limited geographically. However, if you are considering a home in one of the eligible areas, this program offers zero-down financing with lower fees than FHA. Check the USDA eligibility map for Oahu to see if your target area qualifies.

## Jumbo Loans

Any loan amount that exceeds the conforming loan limit of \$1,249,125 for Honolulu County is classified as a jumbo loan. With the median single-family home price at \$1,224,500 — sitting just under the conforming limit — roughly half of single-family purchases, and virtually all luxury purchases, require jumbo financing.

| Feature              | Details                                               |
|----------------------|-------------------------------------------------------|
| Minimum Down Payment | 10% – 20% (varies by lender and loan amount)          |
| Minimum Credit Score | 700+ (720+ preferred)                                 |
| Maximum DTI          | 43% (some lenders allow higher)                       |
| Mortgage Insurance   | Typically not required (with 20%+ down)               |
| Loan Limit           | No statutory limit; lender-specific                   |
| Reserve Requirements | 6 – 12 months of mortgage payments in liquid reserves |

**Key Considerations for Oahu:** Jumbo loans carry stricter qualification requirements than conforming loans, including higher credit scores, larger down payments, and significant cash reserve requirements. Interest rates on jumbo loans have historically been slightly higher than conforming rates, though in some market conditions they can be competitive or even lower. Shopping multiple lenders is especially important for jumbo loans, as pricing varies significantly.

## Portfolio Loans

A portfolio loan is a mortgage that the lender keeps on its own books rather than selling to Fannie Mae, Freddie Mac, or Ginnie Mae. Because portfolio loans are not subject to agency guidelines, lenders have more flexibility in their underwriting criteria.

Portfolio loans are particularly relevant on Oahu for situations where conventional financing is not available, including non-warrantable condos, properties with mixed-use zoning, unique properties that do not appraise well under standard guidelines, and borrowers with non-traditional income documentation (such as self-employed individuals or foreign nationals).

Portfolio loan terms vary widely by lender. Expect higher interest rates (typically 0.5 to 1.5 percent above conventional rates), larger down payment requirements (15 to 25 percent), and potentially shorter loan terms or adjustable rates.

## Loan Program Comparison at a Glance

| Feature               | Conventional          | FHA                      | VA                | USDA          | Jumbo                 |
|-----------------------|-----------------------|--------------------------|-------------------|---------------|-----------------------|
| Min. Down Payment     | 3% – 5%               | 3.5%                     | 0%                | 0%            | 10% – 20%             |
| Min. Credit Score     | 620                   | 580                      | 620*              | 640           | 700+                  |
| Mortgage Insurance    | PMI (removable)       | MIP (permanent**)        | None              | Guarantee fee | Varies                |
| Loan Limit (Honolulu) | \$1,249,125           | \$828,000                | No limit          | N/A           | No limit              |
| Best For              | Good credit, 5%+ down | Lower credit, first-time | Military/veterans | Rural areas   | High-value properties |

\*VA has no official minimum; 620 is a common lender overlay. \*\*FHA MIP is permanent if down payment is less than 10%; removable after 11 years if 10%+ down.

**Compare scenarios side by side:** the free Loan Comparison Calculator at [realitycents.com/loan-compare](https://realitycents.com/loan-compare) models any two loans with Hawaii-specific taxes and prepaids, and lets you print or share the results.

## Chapter 10: The First-Lien HELOC — A Different Way to Hold a Mortgage

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Everything in Chapter 9 describes traditional amortizing mortgages: you borrow a fixed amount, and every month for 30 years you make the same payment, slowly grinding the balance down. There is another structure entirely — the **first-lien HELOC**, sometimes called an “all-in-one” loan — and it deserves its own chapter because it works so differently that comparing it to a conventional loan by interest rate alone will mislead you in both directions.

### How It Works

A first-lien HELOC replaces your mortgage with a single open line of credit secured by your home, paired with integrated sweep checking. Your paycheck deposits directly into the account, and every dollar sitting there counts against your loan balance. Interest accrues daily on the *net* balance — the loan minus everything parked in the account. Buy groceries, pay bills, and the balance ticks up; deposit your paycheck, and it drops.

The mechanics that matter, using the CMG All-In-One as the representative example:

- **The rate is variable** — indexed to SOFR plus a margin (typically in the 2.5 to 4.0 percent range), adjusting monthly. There is a rate floor of 3.750 percent and a lifetime cap of the margin plus 6 percent. Fixed-rate versions of this product have been discontinued; monthly adjustable is the only structure offered.
- **It never converts to an amortizing loan.** The line stays a line for its full term. Interest is automatically drawn from the line each month (on the 21st for the CMG product), so there is no required “payment” in the traditional sense — but that convenience is exactly where discipline matters.
- **The credit limit steps down in the later years.** After year 10, the available line decreases by 1/240th each month, which gradually requires principal reduction over the remaining term.
- **Margin pricing works like points in reverse.** A lower margin costs more up front and benefits people who will actively use the line for decades. A higher margin costs less and suits borrowers focused on rapid payoff.

### Why Anyone Would Want This

The appeal is *cash-flow efficiency*. In a household with strong monthly income and meaningful savings sitting idle in a checking account earning nothing, every idle dollar is simultaneously reducing loan interest at the loan’s full rate. The effective borrowing cost can end up meaningfully below the stated rate, and borrowers who consistently run a surplus can pay off a home years faster

than a 30-year schedule — without changing their lifestyle, because the account is their checking account.

It also solves a real Oahu problem: flexibility. Equity in a traditional mortgage is locked until you refinance or sell. In a first-lien HELOC, paid-down principal remains available to redraw — for a renovation, an investment, or an emergency — without a new loan application.

## The Honest Counterweight

I market this product, and I will still tell you plainly: it is not for everyone, and anyone who sells it as universally superior is doing you a disservice.

- **The rate is variable in fact, not just in theory.** When SOFR rises, your cost rises the next month. You are trading the certainty of a fixed payment for efficiency. If certainty is what lets you sleep, keep the fixed loan.
- **It rewards surplus and punishes deficit.** A household that spends more than it earns will drift the balance upward with no fixed amortization schedule to stop the slide. This product requires genuine, sustained cash-flow discipline.
- **Line freezes are structurally possible.** As with any HELOC, the lender retains the right to freeze or reduce the available line in extreme circumstances. It has structural protections, but the possibility is real and you should know it exists.
- **If you locked a 2–3 percent fixed rate in 2020–2022, keep it.** Almost no cash-flow efficiency overcomes the gap between those rates and today's. The math changes only if you genuinely need to access equity.

## Who It Fits

The first-lien HELOC is worth serious analysis if you are: buying now in a 6-percent-plus rate environment (where the variable rate competes directly with fixed alternatives); a post-2023 buyer considering a refinance anyway; a strong saver with reliable surplus income; or a homeowner who values redraw flexibility — common among self-employed borrowers and investors. It is generally wrong for tight budgets, variable incomes without reserves, and anyone holding a pandemic-era fixed rate they don't need to break.

**Run your own numbers:** the free First-Lien HELOC Calculator at [realitycents.com/heloc-sweep-calculator](https://realitycents.com/heloc-sweep-calculator) models your income, spending, and balance month by month — including optimistic, current, and pessimistic rate scenarios — and shows the effective cost and payoff timeline side by side with a traditional mortgage. It prints to PDF, so bring the output to any lender and make them beat it or explain why.

## Chapter 11: Down Payment Assistance and First-Time Buyer Programs

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### HHFDC Hale Kamaaina Mortgage Program

The Hawaii Housing Finance and Development Corporation (HHFDC) administers the Hale Kamaaina Mortgage Program, which offers first-time homebuyers competitive fixed-rate 30-year mortgage financing with optional down payment assistance. As of early 2026, HHFDC had \$30 million allocated to this program. [13]

Key features include below-market interest rates on 30-year fixed mortgages, optional down payment assistance that can reduce the required down payment to as low as zero in some cases, and income and purchase price limits that are set based on household size and county. Early-2026 incentives included up to \$3,000 toward closing costs for an initial group of borrowers — ask about current availability, as funds and incentives are limited and move quickly. [14]

To qualify, you must be a first-time homebuyer (or not have owned a home in the past three years), meet income limits for Honolulu County, purchase a property below the program's purchase price limit, complete a homebuyer education course, and use a participating lender.

### Honolulu Down Payment Loan Program

The City and County of Honolulu offers a Down Payment Loan Program that provides eligible applicants with up to \$40,000 in assistance. This assistance comes in the form of a zero-fee, zero-interest loan with a 20-year term, making it one of the most generous local programs available. [15]

### Federal Tax Credits and Deductions

While not specific to Hawaii, federal tax benefits for homeowners remain significant. Mortgage interest on loans up to \$750,000 is deductible (for loans originated after December 15, 2017).

Property taxes are deductible up to \$10,000 per year (combined with state and local income taxes under the SALT cap). These deductions can meaningfully reduce the effective cost of homeownership, particularly in a high-cost market like Oahu.

## Chapter 12: The Pre-Approval Process

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### Why Pre-Approval Is Non-Negotiable on Oahu

In a competitive market like Oahu, a pre-approval letter is not optional — it is a prerequisite for being taken seriously as a buyer. Sellers and their agents routinely reject offers that are not accompanied by a pre-approval letter, regardless of how strong the offer price may be.

A **pre-qualification** is a quick, informal estimate of what you might be able to borrow based on self-reported information. A **pre-approval** is a much more rigorous process in which the lender verifies your income, assets, employment, and credit, and issues a conditional commitment to lend you a specific amount. In Oahu's market, only a pre-approval carries weight.

### Documents You Will Need

| Document                                              | Purpose                               |
|-------------------------------------------------------|---------------------------------------|
| Pay stubs (most recent 30 days)                       | Verify current income                 |
| W-2s (past 2 years)                                   | Verify income history                 |
| Federal tax returns (past 2 years)                    | Verify income and self-employment     |
| Bank statements (past 2-3 months)                     | Verify assets and down payment funds  |
| Investment account statements                         | Verify additional assets and reserves |
| Government-issued photo ID                            | Identity verification                 |
| Gift letter (if applicable)                           | Document source of gift funds         |
| Divorce decree / child support orders (if applicable) | Verify obligations                    |
| VA Certificate of Eligibility (if using VA loan)      | Confirm VA entitlement                |

### How Long Does Pre-Approval Take?

With a complete document package, most lenders can issue a pre-approval within 1 to 3 business days. I recommend starting the pre-approval process at least 30 to 60 days before you plan to begin actively looking at properties. This gives you time to address any issues that arise — such as credit score improvements, documentation gaps, or debt payoff strategies — before you are under the pressure of a purchase timeline.

## **What Pre-Approval Does NOT Guarantee**

A pre-approval is a conditional commitment, not a final loan approval. The loan must still go through full underwriting after you have an accepted offer, which includes a property appraisal, title search, and verification that your financial situation has not changed. Do not make major financial changes after receiving your pre-approval — do not change jobs, make large purchases, open new credit accounts, or co-sign for anyone else's debt.

## Chapter 13: Finding Your Home on Oahu

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### Working with a Real Estate Agent

Hawaii law requires that real estate agents be licensed in the state. Working with a local Oahu agent who knows the neighborhoods, buildings, and market dynamics is invaluable. A good buyer's agent will help you identify properties that match your criteria, provide comparable sales data to inform your offer strategy, navigate the unique aspects of Hawaii transactions (leasehold, AOA reviews, NUC verification), coordinate with your lender, inspector, and escrow company, and represent your interests throughout the transaction.

On Oahu, the seller typically pays the buyer's agent commission, so there is generally no direct cost to you for having professional representation.

### Leasehold vs. Fee Simple: A Critical Distinction

This is one of the most important concepts for Oahu buyers to understand, particularly in the condo market.

| Feature            | Fee Simple                          | Leasehold                                             |
|--------------------|-------------------------------------|-------------------------------------------------------|
| What You Own       | Land + improvements (building/unit) | Improvements only (you lease the land)                |
| Typical Price      | Higher (full ownership)             | ~25% less than comparable fee simple                  |
| Monthly Cost       | Mortgage + taxes + HOA              | Mortgage + taxes + HOA + lease rent                   |
| Financing          | Standard financing available        | More difficult; some lenders will not finance         |
| Lease Rent         | None                                | Monthly payment to landowner (\$200 – \$1,000+)       |
| Lease Term         | Perpetual (you own it forever)      | Fixed term (often 30-55 years remaining)              |
| Renegotiation Risk | None                                | Lease rent can increase dramatically at renegotiation |
| Resale             | Standard                            | Can be difficult as lease term shortens               |

Leasehold properties can appear to be bargains, with purchase prices 20 to 25 percent below comparable fee simple properties. However, the ongoing lease rent payments, the risk of lease rent renegotiation (which can dramatically increase your monthly costs), and the difficulty of financing and reselling leasehold properties as the lease term shortens must all be carefully considered. [16]

**Jay's Advice:** Leasehold can make sense in specific situations — particularly if the remaining lease term is long (50+ years) and the lease rent is reasonable and fixed for a significant period. But approach with caution and always factor the lease rent into your total cost of ownership calculation.

## The Oahu MLS and Property Search

The primary Multiple Listing Service (MLS) for Oahu is operated by the Honolulu Board of REALTORS through HiCentral.com. Your agent will set up a customized search for you through the MLS, which provides the most comprehensive and up-to-date listing data available. Public-facing sites like Zillow, Redfin, and Realtor.com pull data from the MLS but may have delays or inaccuracies.

## Chapter 14: Making an Offer and Negotiation

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### The Purchase Contract

On Oahu, the standard purchase contract is the Hawaii Association of REALTORS (HAR) Standard Form Purchase Contract. This is a comprehensive document that covers all terms of the transaction, including purchase price, deposit amount, financing contingencies, inspection periods, closing date, and personal property inclusions.

### Key Contingencies in Hawaii Contracts

**Inspection Contingency.** Hawaii contracts typically use a structured review timeline: a 10-day inspection period for the buyer, followed by a 5-day seller response period, and then a 2-day buyer response to the seller's response. This 10/5/2 structure is one of the most distinctive features of Hawaii real estate transactions. [17]

**Financing Contingency.** This protects you if your loan is not approved. The contract will specify a deadline by which you must secure loan commitment. If you cannot obtain financing by that date, you can cancel the contract and receive your deposit back.

**Appraisal Contingency.** If the property does not appraise at or above the purchase price, this contingency allows you to renegotiate or withdraw from the transaction.

### Earnest Money Deposit

On Oahu, the earnest money deposit is typically 1 to 3 percent of the purchase price, deposited into escrow within 1 to 3 business days of the accepted offer. This deposit demonstrates your good faith and becomes part of your down payment at closing. If you default on the contract without a valid contingency, you risk losing your deposit.

### Negotiation Strategies for Oahu

The Oahu market can shift between buyer's and seller's markets depending on inventory levels and economic conditions. In a seller's market, strong offers include a pre-approval letter from a reputable local lender, a reasonable (not excessive) inspection contingency period, flexibility on closing date, and proof of funds for the down payment. In a buyer's market, you may have more leverage to negotiate on price, request seller credits toward closing costs, or ask for repairs.

# Chapter 15: The Escrow Process in Hawaii

## How Escrow Works in Hawaii

Hawaii is an escrow state, which means that a neutral third-party escrow company — not an attorney — handles the closing process. This is fundamentally different from many mainland states where attorneys conduct closings. The escrow company holds all funds and documents, ensures that all conditions of the purchase contract are satisfied, and coordinates the transfer of ownership. [17] [18]

## The Escrow Timeline: Step by Step

| Step                     | Timeline   | Description                                                      |
|--------------------------|------------|------------------------------------------------------------------|
| Open Escrow              | Day 1-3    | Escrow is opened after offer acceptance; earnest money deposited |
| Inspection Period        | Days 1-10  | Buyer conducts inspections (home, termite, etc.)                 |
| Seller Response          | Days 11-15 | Seller responds to inspection requests                           |
| Buyer Response           | Days 16-17 | Buyer responds to seller's counter                               |
| Title Review             | Days 5-20  | Escrow orders Preliminary Title Report; buyer reviews            |
| Appraisal                | Days 10-25 | Lender orders appraisal                                          |
| Loan Contingency Removal | Days 20-30 | Buyer confirms final loan approval                               |
| Final Walkthrough        | Days 28-35 | Buyer inspects property one last time                            |
| Signing                  | Days 30-38 | Buyer and seller sign closing documents                          |
| Funding and Recording    | Days 32-40 | Funds wire; deed records with Bureau of Conveyances              |
| Keys Released            | Days 32-40 | Buyer receives keys after recording                              |

**Typical total timeline: 30 to 45 days from accepted offer to closing.**

## The Two-Day Gap: Hawaii's Unique Closing Rule

One of the most important differences between Hawaii and mainland closings is the two-business-day gap between signing and closing. In most mainland states, you sign your closing documents and receive your keys on the same day. In Hawaii, after all documents are signed, the escrow company must verify that all funds have been received and then submit the deed for recording with the State Bureau of Conveyances. This recording process takes a minimum of two full business days. [17]

This means that if you sign on a Monday, the earliest you would receive keys is Wednesday. If you sign on a Thursday, you may not close until the following Monday or Tuesday (weekends and holidays do not count). Plan your move-in date accordingly.

### **Land Court vs. Regular System**

Hawaii has two parallel systems for recording property ownership. Land Court (also known as the Torrens system) provides a state-guaranteed certificate of title, which simplifies title searches and provides an additional layer of title security. The Regular System uses a more traditional deed-recording process similar to most mainland states. Your escrow officer and title company will determine which system applies to your property. Land Court properties generally have a smoother and faster closing process.

## Chapter 16: Home Inspections and Appraisals

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### Why Inspections Matter More on Oahu

Hawaii's tropical climate, volcanic geology, and exposure to hurricanes and flooding create inspection considerations that do not exist in most mainland markets.

**General Home Inspection.** A comprehensive inspection of the property's structure, roof, plumbing, electrical, HVAC (if applicable), and overall condition. On Oahu, pay particular attention to signs of moisture intrusion, mold, and corrosion from salt air — these are pervasive issues in a tropical maritime environment.

**Termite (Wood-Destroying Organism) Inspection.** This is arguably the most important inspection in Hawaii. Termites — particularly Formosan subterranean termites — are endemic to the islands and can cause catastrophic structural damage. A professional termite inspection is strongly recommended for every purchase, and many lenders require it. The inspection will identify active infestations, evidence of prior damage, and conditions conducive to future infestation.

**Flood Zone Assessment.** Many areas of Oahu, particularly coastal and low-lying neighborhoods, are located in FEMA-designated flood zones. If your property is in a Special Flood Hazard Area (Zone A or Zone V), your lender will require you to carry flood insurance, which can add \$1,000 to \$5,000 or more per year to your costs. Check the FEMA flood maps for Oahu before making an offer — note that updated FEMA flood maps for Oahu took effect in June 2026, and some properties changed designation.

**Hurricane Preparedness.** While Oahu has been fortunate to avoid a direct hurricane hit in recent decades, the risk is real. Evaluate the property's construction quality, window protection (hurricane shutters or impact-resistant windows), and roof condition. Hurricane insurance is a separate policy from standard homeowner's insurance in Hawaii and is typically obtained through the Hawaii Property Insurance Association (HPIA) or private insurers.

**Sewer and Cesspool.** Some older properties on Oahu, particularly in less urbanized areas, may still be on cesspool systems rather than municipal sewer. Hawaii has mandated the conversion of cesspools to septic or sewer systems, and the cost of conversion can be \$20,000 to \$50,000 or more. Verify the property's sewer status before purchasing.

### The Appraisal

If you are financing your purchase, your lender will order an appraisal to determine the property's market value. The appraiser is an independent, licensed professional who will inspect the property and compare it to recent comparable sales. If the appraisal comes in below the purchase price, you have several options: renegotiate the price with the seller, make up the difference with additional

cash, challenge the appraisal with additional comparable sales data, or exercise your appraisal contingency and withdraw from the transaction.

## Chapter 17: Closing Day on Oahu

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### Closing Costs: What to Expect

Closing costs on Oahu typically range from 2 to 5 percent of the purchase price for buyers. The following table provides a breakdown of common closing costs. [19]

| Cost Item                         | Typical Amount                                 |
|-----------------------------------|------------------------------------------------|
| Loan Origination Fee              | 0% – 1% of loan amount                         |
| Appraisal Fee                     | \$500 – \$800                                  |
| Credit Report Fee                 | \$50 – \$100                                   |
| Title Insurance (Lender’s Policy) | \$500 – \$2,000+                               |
| Title Insurance (Owner’s Policy)  | \$500 – \$2,000+ (optional but recommended)    |
| Escrow Fee                        | \$1,000 – \$3,000                              |
| Recording Fees                    | \$100 – \$500                                  |
| Notary Fees                       | \$100 – \$300                                  |
| Prepaid Property Taxes            | Varies (prorated)                              |
| Prepaid Homeowner’s Insurance     | 1 year premium upfront                         |
| Prepaid Interest                  | Per diem interest from closing to end of month |
| HOA/AOAO Transfer Fees            | \$200 – \$1,000                                |
| VA Funding Fee (VA loans only)    | 1.25% – 3.3% of loan amount                    |
| FHA Upfront MIP (FHA loans only)  | 1.75% of loan amount                           |

**Total estimated closing costs on a \$504,500 condo purchase: approximately \$10,000 to \$25,000. Total estimated closing costs on a \$1,224,500 home purchase: approximately \$24,000 to \$61,000.**

### HARPTA and FIRPTA: Tax Withholding on Sellers

While these taxes are paid by the seller, buyers should be aware of them because they can affect the transaction.

HARPTA (Hawaii Real Property Tax Act) requires a 7.25 percent withholding on the gross sales price when the seller is not a Hawaii resident. FIRPTA (Foreign Investment in Real Property Tax Act)

requires a 10 to 15 percent withholding when the seller is a foreign person or entity. [20] If you are buying from a non-resident or foreign seller, these withholdings must be handled through escrow and can affect the seller's net proceeds and willingness to negotiate.

### **The Final Walkthrough**

Conduct your final walkthrough within 24 to 48 hours of your signing date. Verify that the property is in the condition agreed upon in the contract, that all negotiated repairs have been completed, that all fixtures and personal property included in the sale are present, and that the property is clean and vacant (unless otherwise agreed).

## Chapter 18: After You Close — Life as an Oahu Homeowner

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### Homeowner's Insurance

For single-family homes, you will need a standard homeowner's insurance policy (HO-3) that covers the structure, personal property, and liability. For condos, you will need an HO-6 policy that covers the interior of your unit, your personal belongings, and personal liability — the building's master policy (paid through your AOA fees) covers the structure and common areas.

Hurricane insurance is a separate policy in Hawaii and is essential. The Hawaii Property Insurance Association (HPIA) is the insurer of last resort for hurricane coverage, though private options are also available. Premiums vary based on location, construction type, and coverage amount.

Flood insurance is required if your property is in a FEMA-designated flood zone and recommended even if it is not. Standard homeowner's policies do not cover flood damage.

### Oahu Property Taxes

Oahu property taxes are administered by the City and County of Honolulu's Real Property Assessment Division (RPAD). Tax rates vary by property classification. [9]

| Property Classification                                 | Tax Rate (per \$1,000 assessed value) |
|---------------------------------------------------------|---------------------------------------|
| Residential (owner-occupied with home exemption)        | \$3.50                                |
| Residential A, Tier 1 (non-owner-occupied, under \$1M)  | \$4.00                                |
| Residential A, Tier 2 (non-owner-occupied, \$1M – \$2M) | \$11.40                               |
| Residential A, Tier 2 (non-owner-occupied, \$2M+)       | \$13.60                               |
| Hotel and Resort                                        | \$13.90                               |
| Commercial                                              | \$12.40                               |

**Homeowner Exemption.** If you occupy the property as your primary residence for at least 270 days per year, you qualify for the homeowner exemption, which reduces your assessed value by \$120,000 (or \$160,000 if you are 65 or older). Combined with the lower owner-occupied tax rate of \$3.50 per \$1,000, this exemption provides significant tax savings. [9]

*Example:* A home assessed at \$1,000,000 with the homeowner exemption:  $(\$1,000,000 - \$120,000) \times \$3.50 / \$1,000 = \$3,080$  per year in property taxes. Without the exemption, at the Residential A Tier 1 rate:  $\$1,000,000 \times \$4.00 / \$1,000 = \$4,000$  per year.

## Maintaining a Home in Hawaii's Tropical Climate

Owning a home in Hawaii requires attention to maintenance challenges unique to the tropical environment.

**Salt Air Corrosion.** Properties near the coast are exposed to salt-laden air that accelerates corrosion of metal components — railings, fixtures, roofing materials, and even concrete rebar. Regular washing and maintenance of exterior surfaces is essential.

**Termite Prevention.** Even after purchase, ongoing termite prevention is critical. Consider annual termite inspections and, if appropriate, a termite treatment plan (such as Sentricon bait stations or soil treatment).

**Mold and Mildew.** Hawaii's humidity creates ideal conditions for mold growth. Ensure adequate ventilation, use dehumidifiers if necessary, and address any water intrusion promptly.

**Tropical Vegetation.** Plants grow rapidly in Hawaii's climate. Regular landscaping maintenance is necessary to prevent overgrowth, root intrusion into plumbing or foundations, and pest harboring.

**Roof Maintenance.** UV exposure and tropical storms take a toll on roofing materials. Inspect your roof annually and after any significant storm event.

## Chapter 19: Glossary of Mortgage and Real Estate Terms

| Term              | Definition                                                                                                                                                          |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| AOAO              | Association of Apartment Owners — the governing body of a condominium project in Hawaii (equivalent to HOA on the mainland)                                         |
| Appraisal         | An independent professional assessment of a property's market value                                                                                                 |
| ARM               | Adjustable-Rate Mortgage — a mortgage with an interest rate that changes periodically based on a benchmark index                                                    |
| Closing Costs     | Fees and expenses paid at the closing of a real estate transaction, beyond the purchase price                                                                       |
| Condotel          | A condominium unit within a building that operates as a hotel, often with a rental pool and hospitality services                                                    |
| Conforming Loan   | A mortgage that meets Fannie Mae or Freddie Mac guidelines, including loan amount limits                                                                            |
| Conventional Loan | A mortgage not insured or guaranteed by a government agency                                                                                                         |
| DSCR Loan         | Debt Service Coverage Ratio loan — qualifies based on the property's rental income rather than the borrower's personal income                                       |
| DTI               | Debt-to-Income Ratio — the percentage of gross monthly income that goes toward debt payments                                                                        |
| Earnest Money     | A deposit made by the buyer to demonstrate serious intent to purchase; held in escrow                                                                               |
| Escrow            | A neutral third party that holds funds and documents until all conditions of a transaction are met                                                                  |
| Fee Simple        | Full ownership of both the land and any improvements on it                                                                                                          |
| FHA Loan          | A mortgage insured by the Federal Housing Administration                                                                                                            |
| First-Lien HELOC  | An open line of credit in first position that replaces a traditional mortgage, typically paired with sweep checking so deposits reduce the interest-bearing balance |
| FIRPTA            | Foreign Investment in Real Property Tax Act — federal tax withholding on foreign sellers of U.S. real estate                                                        |
| HARPTA            | Hawaii Real Property Tax Act — state tax withholding on non-resident sellers of Hawaii real estate                                                                  |

|                         |                                                                                                                                          |
|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| HHFDC                   | Hawaii Housing Finance and Development Corporation — state agency offering affordable housing programs                                   |
| HO-6 Policy             | A homeowner’s insurance policy designed specifically for condominium owners                                                              |
| Jumbo Loan              | A mortgage that exceeds the conforming loan limit (\$1,249,125 for Honolulu County in 2026)                                              |
| Leasehold               | Ownership of improvements on land that is leased from a landowner for a specified term                                                   |
| MIP                     | Mortgage Insurance Premium — insurance required on FHA loans                                                                             |
| NMLS                    | Nationwide Mortgage Licensing System and Registry — the system for licensing mortgage professionals                                      |
| Non-Warrantable Condo   | A condominium that does not meet Fannie Mae/Freddie Mac guidelines for conventional financing                                            |
| NUC                     | Non-Conforming Use Certificate — a permit allowing short-term rentals in certain Oahu buildings; no longer issued                        |
| PITI                    | Principal, Interest, Taxes, and Insurance — the four components of a monthly mortgage payment                                            |
| PMI                     | Private Mortgage Insurance — insurance required on conventional loans when the down payment is less than 20%                             |
| Portfolio Loan          | A mortgage held by the originating lender rather than sold to a secondary market investor                                                |
| Pre-Approval            | A lender’s conditional commitment to provide a mortgage, based on verified financial information                                         |
| Reserve Study           | An analysis of a condo association’s physical components and financial reserves                                                          |
| Second-Tier Entitlement | The additional VA loan entitlement that can allow an eligible borrower to hold two VA loans at the same time, commonly used during a PCS |
| SOFR                    | Secured Overnight Financing Rate — the benchmark index used for most variable-rate loans, including first-lien HELOCs                    |
| Special Assessment      | A one-time charge levied by an AOA on unit owners to cover unexpected or major expenses                                                  |
| Title Insurance         | Insurance that protects against defects in the property’s title                                                                          |
| VA Loan                 | A mortgage guaranteed by the U.S. Department of Veterans Affairs                                                                         |
| Warrantable Condo       | A condominium that meets Fannie Mae/Freddie Mac guidelines for conventional financing                                                    |

## Chapter 20: About the Author

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**Jay Miller** is Sales Manager and Certified Mortgage Advisor at CMG Home Loans, with 25 years of experience in Hawaii's mortgage industry and a U.S. Army veteran. Over the course of his career, Jay has helped thousands of families — from first-time buyers to seasoned investors, from active-duty military to retirees — navigate the complexities of financing a home in one of the most unique real estate markets in the United States.

Jay is the author of *Zero Down in Paradise: The Hawaii VA Loan Playbook for Military Homebuyers* (July 2026) and the founder of **RealityCents.com**, where he maintains a library of free educational articles, a searchable directory of every VA-approved condo on Oahu, and a suite of Hawaii-specific mortgage calculators — including loan comparison, affordability, buydown, military buying power, and first-lien HELOC tools.

Jay's philosophy is simple: **an informed borrower is a confident borrower**. He believes that education is the foundation of every successful transaction, which is why he created this guide.

Whether you are buying your first condo in Makiki, upgrading to a single-family home in Mililani, investing in a condotel in Waikiki, or using your VA benefit for the first time, Jay has the experience and expertise to guide you through the process.

### Official Signature Block

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